

MODULE 2

CREATIVITY AND INNOVATION

OVERVIEW:

The words creativity and innovation can be heard used in the media and in everyday conversation to refer to both a product of human creativity and to the processes involved in the development of a product. The two quotations cited in this book's preface are examples of this duality. We will mainly concentrate on the latter of these meanings, whereas other studies focus on the evaluation of products once they have been produced.

According to Drucker (1985), most innovative ideas result from a conscious and purposeful search for opportunities to solve problems or please customers. The literature on innovations defines two types of innovations: incremental and radical. Incremental innovations exploit existing technologies to improve upon something that already exists. Radical innovations are new to the world and a departure from existing technologies and methods. Christensen (1997) distinguished between sustaining and disruptive or radical innovations.

Innovation refers to creating more effective processes, products, and ideas. For a business, it could mean implementing new ideas, improving services or creating dynamic products. It can act as a catalyst that can make your business grow and can help you adapt in the marketplace.

The connection between innovation and success is clear and by understanding what motivates your people you can structure your compensation programs to drive the innovation needed in your organization.

LEARNING OUTCOMES:

After successful completion of this modules, you should be able to:

- A. Identify the importance of creativity and innovation
- B. Describe the importance of creativity and innovation
- C. Discuss the components, benefits and types of creativity and innovation.
- D. Explain the characteristics of creativity and innovation

COURSE MATERIALS:

CREATIVITY DEFINE

Creativity is the act of turning new and imaginative ideas into reality. Creativity is characterised by the ability to perceive the world in new ways, to find hidden patterns, to make connections between seemingly unrelated phenomena, and to generate solutions.

IMPORTANCE OF CREATIVITY IN BUSINESS

Creativity in business is a way of thinking that inspires, challenges, and helps people to find innovative solutions and create opportunities out of problems. It's the reason some companies wow us with new, amazing ideas, whilst others merely follow the beaten path. It's the source of innovation and inspiration.

SPECIFIC BENEFITS OF CREATIVITY IN THE WORKPLACE INCLUDE:

- Better teamwork and team bonding;
- Increased workplace engagement and interaction;

- Improved ability to attract and retain quality employees;
- Increased staff morale, fun and happiness; and.
- Increased workplace problem solving and productivity.

COMPONENTS OF CREATIVITY

1) Originality - The method or idea must be new and unique. It should not be the extension of something, which already exists.

2) Functionality - A creative idea must work and produce results, otherwise, the whole effort will be in vain.

Kinds of people called creative:

- People who are thought-provoking, curious and have a variety of uncommon thoughts are known to be creative people.
- People who had important self-discoveries, who view the world with a fresh perspective and have insightful ideas. These people make unique discoveries which they don't share with the outer world.
- People who make great achievements which are known to the world. Inventors and artists fall under this category.

QUALITIES OF CREATIVE PEOPLE

1) They are Energetic - Creative people tend to have a great amount of physical as well as mental energy. They utilize their energy to invent new ideas.

2) They are intelligent - It is believed that intelligence plays a key role in creativity. To become creative, people should be smart and they should also have a child-like attitude to view things.

3) Discipline – They people have the practice of making people obey rules or standards of behaviour, and punishing them when they do no.

CREATIVE DOMAIN DISCRETE PROCESSING MODES

- Emotional
- Cognitive
- Deliberate
- Spontaneous

4 TYPES OF CREATIVITY

1) Deliberate and Cognitive creativity- They have a great amount of knowledge about a particular subject and combine their skills and capabilities to prepare a course of action to achieve something.

2) Deliberate and Emotional Creativity - These types of creative people are very emotional and sensitive in nature. These individuals prefer relatively quiet and personal time to reflect and they usually have a habit of diary writing. However, they are equally logical and rational in decision making.

3) Spontaneous and Cognitive creativity - By indulging in different and unrelated activities, the unconscious mind gets a chance to connect information in new ways which provide

solutions to the problems. Therefore, to let this type of creativity happen one should take a break from the problem and get away to let conscious mind overtake.

4) Spontaneous and Emotional Creativity - Spontaneous ideas and creativity happen when conscious and Prefrontal brain is resting. This type of creativity is mostly found in a great artist. Spontaneous and emotional creativity is responsible for a scientific breakthrough, religious and also philosophical discoveries. Such as musicians, painters, and writers etc. This type of creativity is also related to “epiphanies”. Epiphany is a sudden realization of something.

6 STAGES OF CREATIVE PROCESS

- **Preparation** - the idea that you are immersing yourself in the domain. During this stage, she may perform research, creates goals, organize thoughts and brainstorm as different ideas formulate
- **Incubation** - While the individual begins to process her ideas, he begins to synthesize them using his imagination and begins to construct a creation. Gabora states that during this step, the individual does not actively try to find a solution, but continues to mull over the idea in the back of his head.
- **Illumination** - As ideas begin to mature, the individual has an epiphany regarding how to piece her thoughts together in a manner that makes sense. The moment of illumination can happen unexpectedly. For example, an individual with the task of putting together an office party may have an idea for a theme while driving home from work.
- **Evaluation** - After a solution reveals itself in an epiphany, the individual then evaluates whether the insight is worth the pursuit. He may make changes to his solution so it is clearer. He may consult with peers or supervisors regarding his insights during this step before pursuing it further. If he works with clients, he may seek a client's input and approval before moving on to the next step.
- **Implementation** - The implementation of an idea or solution in the creative process model is when an individual begins the process of transforming her thoughts into a final product. According to Gabora, an individual may begin this step more than once in order to reach the desired outcome.

RECOGNIZING CREATIVE TECHNIQUES

1. Brainstorming – probably one of the most popular creative techniques. The basis of brainstorming is a generating ideas in a group situation based on the principle of suspending judgment – a principle which scientific research has proved to be highly productive in individual effort as well as group effort.

2. Negative brainstorming - It uses brainstorming to generate bad solutions to the problem and then see how those could be transformed into good solutions. The method is a two-step process that consists of generating the worst ideas first and then transforming them into good solutions.

3. The Insights Game - Actually, it is a personal method, but you can do it with your friends or team on different boards simultaneously supporting each other.

4. Mood boards - Mood board is a type of collage that may consist of images, text, videos and samples of objects in a composition of the choice of the mood board creator.

5. Random Words (Random Input) - encourages your imagination to create different perspectives and new angles on your idea or the problem you are facing. It is by far the simplest of all creative techniques and is widely used by people who need to create new ideas.

6. Storyboarding example, for new products Go back to the very beginnings of cinema and animation. Managing the thousands of drawings and the progress of a project was nearly impossible.

7. Metaphorical thinking - A metaphor is a thinking method which connects two universes of meaning. A road map is a model or metaphor of reality and useful for explaining things.

8. Mind mapping - Mind Maps has been developed by Tony Buzan are an effective technique of structuring information and note-taking. Start in the center of the board with the main idea, invite your team and work in all directions, producing a growing and organized structure using key words/phrases and key images/videos.

9. Brain shifter- is one of creative techniques that is similar to mind mapping, but you should act as if you were someone else. The purpose is to create new ideas that you never thought about before. Get in to character by changing your mind set and try to think like another person.

CHARACTERISTICS OF CREATIVITY

1. Flexibility - it involves a mind-set that suggests that there may be more than a single answer or solution to any particular issue or problem. Flexible thinkers are not hemmed in by being overly-focused on one way of doing things and tend to be open to innovation.

2. A sense of intense curiosity - They ask lots of questions, and tend to develop a very intense focus that takes them into almost a reverie as they try to discover how something works, or the detail of a beautiful structure, or anything else they set their mind on.

3. Positive attitude - is essential for thinking creatively as it is this positivity that spurs the mind on to seek detail, wonder, and, indeed, solutions. This is linked strongly to my previous point about intense curiosity.

4. Strong motivation and determination - creativity requires the follow-through that can only come from strong motivation and determination. Without this, creative ideas will only reside within the mind of the individual without having the opportunity to influence society and/or the community.

5. Fearlessness - highly creative people tend to believe in the VALUE of the ideas they come up with. Remember, they are also flexible, so they are willing to change; however, they do not seem to be worried about whether their idea is right or wrong because they believe that their idea brings value to the field in which it resides, even if it may later be debunked.

INNOVATION DEFINE

The creation, development and implementation of a new product, process or service, with the aim of improving efficiency, effectiveness or competitive advantage.

TYPES OF INNOVATION

1. Incremental Innovation - It utilizes your existing technology and increases value to the customer (features, design changes, etc.) within your existing market.

2. Disruptive Innovation - involves applying new technology or processes to your company's current market. It is stealthy in nature since newer tech will often be inferior to existing market technology. This newer technology is often more expensive, has fewer features, is harder to use, and is not as aesthetically pleasing.

3. Architectural Innovation - is simply taking the lessons, skills and overall technology and applying them within a different market. This innovation is amazing at increasing new customers as long as the new market is receptive. Most of the time, the risk involved in architectural innovation is low due to the reliance and reintroduction of proven technology. Though most of the time it requires tweaking to match the requirements of the new market.

4. Radical innovation - It gives birth to new industries (or swallows existing ones) and involves creating revolutionary technology. The airplane, for example, was not the first mode of transportation, but it is revolutionary as it allowed commercialized air travel to develop and prosper.

BENEFITS OF INNOVATION IN BUSINESS

1. Solve Problems Easily - You need to come up with creative answers to solve certain problems in your business. Many times you'll face problems that don't seem to go away. You need to think outside the box to find an answer you've never come up with.

2. Increase Your Productivity - In order to work smarter, think creatively. Focus on what things you should streamline and what things you need to cut out. Also, focus on the programs and workflows that you can use to increase productivity.

3. Market Your Business - In order to make people remember your business, you need innovative ideas. You can create a new brand, develop a quirky business or can work with any non-profit organization.

4. Beat Your Competitors - You just need to put in a little creativity and you can easily come up with better ways to design products and connect with customers. Along with this, creativity will help you figure out the right marketing techniques that will help your business grow.

IMPORTANT ROLE OF INNOVATION

1. Economic growth - Economic growth refers to the increase in the inflation-adjusted market value of the goods and services produced by an economy over time. It is conventionally measured as the percent rate of increase in real gross domestic product, or real GDP. The purpose of innovation is to come up with new ideas and technologies that increase productivity and generate greater output with the same input.

2. Innovation and the future of jobs - Technological advancement and increased productivity means major changes for careers today as well. The world economy could more than double in size by 2050 due to continued technology-driven product improvements.

3. Increased well-being - In general, innovation and economic growth increases well-being because living standards rise. According to the Brookings Institution, average life satisfaction is higher in countries with greater GDP per capita. Another research also shows that there's a link between innovation and subjective wellbeing.

4. Reduced sickness, poverty and hunger - As already mentioned, developing countries depend on innovation as new digital technologies and innovative solutions create huge opportunities to fight sickness, poverty and hunger in the poorest regions of the world.

5. Environmental sustainability - Sustainability and environmental issues, such as climate change, are challenges that require a lot of work and innovative solutions now and in the future. Although new greener technology solutions, such as eco vehicles aren't necessarily more competitive alternatives to petrol-powered vehicles just yet, they will definitely offer many advantages for the future.

IMPORTANCE OF INNOVATION IN ENTREPRENEURSHIP EDUCATION, IDEAS EXECUTION, KNOWLEDGE AND MORE

Innovation and education

Since we live in an age of innovation, a practical education must prepare a man for work that does not yet exist and cannot yet be clearly defined. – Peter Drucker
Knowledge, information and innovation

Innovation is fostered by information gathered from new connections; from insights gained by journeys into other disciplines or places; from active, collegial networks and fluid, open boundaries. Innovation arises from ongoing circles of exchange, where information is not just accumulated or stored, but created. Knowledge is generated anew from connections, that weren't there before. – **Margaret J. Wheatley**

Money and innovation

Innovation has nothing to do with how many R&D dollars you have. When Apple came up with the Mac, IBM was spending at least 100 times more on R&D. It's not about money. It's about the people you have, how you're led, and how much you get it. – **Steve Jobs**
Ideas and innovation

Just as energy is the basis of life itself, and ideas the source of innovation, so is innovation the vital spark of all human change, improvement and progress. – **Ted Levitt**

Idea execution and innovation

Innovation is the process of turning ideas into manufacturable and marketable form. – **Watts Humphrey**

Patience, persistence and innovation

Innovation by definition will not be accepted at first. It takes repeated attempts, endless demonstrations, and monotonous rehearsals before innovation can be accepted and internalized by an organization. This requires "courageous patience. – Warren Bennis

IMPORTANCE OF CREATIVE AND INNOVATION IN ENTREPRENEURSHIP

Creativity improves the process of solving problems. It doesn't matter if we're talking about developing a new strategy or an **innovative** way to stay ahead of the competition. **Creative** problem solving gives that competitive edge that any business is striving to achieve.

PRINCIPLES OF INNOVATION

- 1. Be action oriented** - a cross-disciplinary learning-by-doing approach to problem solving is necessary. It helps your team identify challenges you face and come up with multiple ideas to solve problems. Actions speak louder than words.
- 2. Start Small** - By appealing to a small, limited market, a product or service requires little money and few people to produce and sell it. As the market grows, the company has time to fine-tune its processes and stay ahead of the emerging competition.
- 3. Aim High** - Raise awareness and build a shared understanding of the possibilities and challenges of legislation in creating markets for innovation and innovative business ecosystems.
- 4. The rules of try, test and revise** - Innovation creates novel products, processes, or business models that generate economic value. Trying anything new inevitably entails experimentation and failure. Simple rules, however, add discipline to the process to boost efficiency and increase the odds that the resulting innovations will create value.
- 5. Learn from failures** - admitting to mistakes and taking the time to learn from them will reward companies with deeper insights into their businesses and markets. Getting employees to talk about previous errors can foster innovative thinking in a way that successes cannot. Mistakes offer us new portals of discovery, and that is their unique value. Without mistakes, we can't really learn.
- 6. Follow a milestone schedule** - provides an estimated timeline for the life of the project. The schedule should include milestones for the planning, development, construction, evaluation and reporting of the project's implementation.
- 7. Reward heroic activity** - Provide financial / tangible incentives through bonus, cash, shares, additional holiday, and the like. Importantly though remember that not all are of equal value in the eyes of your employees. Some will appreciate the time off, for example, more than pay whilst others may prefer pay and even like to work extra hours.
- 8. Work, work, work** - Working is living, and exceptional living standards attract exceptional people. Creating a workplace that is conducive to a happy lifestyle will attract top talent and keep your employees motivated. More than this, though, a truly great and innovative workplace can actively work to inspire employees, helping them to explore new ideas and blend old ones together for innovative solutions.

IMPORTANCE OF CREATIVITY AND INNOVATION TO:

A. Technopreneur

- Its ability to develop new ideas and to discover new ways of looking the problems and opportunities.

- It is defined as the tendency to generate or recognize new ideas, alternatives, possibilities that may be useful in solving problems, communicating with others, and entertaining ourselves and others.
- It is also any act, idea or product that changes an existing domain or that transform an existing domains into a new one.

B. Business Organization

Innovation is the process of creating and implementing a new idea. It is the process of taking useful ideas and converting them into useful products; services or processes or methods of operation. These useful ideas are the result of creativity, which is the prerequisite for innovation. **Creativity** is the ability to combine ideas in a unique way or to make useful association among ideas. Creativity provides new ideas for quality improvement in organizations and innovation puts these ideas into action.

FACTORS SUPPORT CREATIVITY AND INNOVATION

1. Management practices that support creating a culture of innovation.

Specific actions and practices on the part of management that impact a culture of innovation include allowing freedom and autonomy in the practice of work; providing challenging work; specifying clear strategic goals; and forming work teams comprised of individuals with diverse skills and perspectives.

Factor as part of work environment

- **Freedom:** People need the autonomy to determine the optimal way to carry out their tasks. This gives them a sense of control over their work and a feeling of responsibility for the final product (or process).
- **Challenging Work:** Challenging assignments give employees an opportunity to work hard and feel challenged — and to feel that their work is important and valuable. Employees need to understand why their work contributes to the organization's competitive advantage and long-term sustainability.
- **Managerial Encouragement:** A boss should set and communicate clear innovation goals that are ambitious, yet achievable. He or she should serve as a good work model, support the work group, value individual contributions, and exude confidence in the team. Support employees when they speak up, take risks, and try new things.
- **Support for Teamwork:** Because innovation is a team effort, people need to work on a team where diverse skillsets are represented. Team members should communicate well and remain open to new ideas, constructively challenge each other's work, trust and help each other, and feel committed to the work they're doing.

2. Organizational motivation and encouragement of innovation.

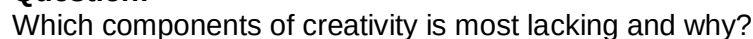
Creating a culture of innovation requires collaboration and communication.

- **Organizational Encouragement:** This is a culture that encourages creativity through the fair, constructive judgment of ideas; reward and recognition for creative work;

- **Lack of Organizational Impediments:** A culture of innovation doesn't impede creativity through internal political problems, harsh criticism of new ideas, destructive internal competition, avoidance of risk, or an overemphasis on the status quo.

In order to innovate, people have to balance the tension between managing the day-to-day while driving for improvement and reinvention.

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2. Scenario: Failure to Generate Ideas in a Team

A group is tasked to create an innovative farming solution. However, during meetings, members criticize ideas immediately, resulting in very few suggestions.

Question:

Which creative technique is being misused or ignored and why?

3. Scenario: Innovation Type Misclassification

A company improves its existing pig feed formula by adding vitamins, increasing efficiency but not changing the core product.

Question:

What type of innovation is demonstrated?

4. Scenario: Poor Creative Process Execution

A student is assigned to design an innovative farm solution. Instead of researching or brainstorming, they immediately create a final product. Later, the idea turns out ineffective.

Question:

Which stage of the creative process was MOST neglected and why?

5. Scenario: Lack of Innovation Culture

A company discourages employees from suggesting new ideas and punishes mistakes. As a result, employees stop being creative.

Question:

Which factor supporting creativity and innovation is missing?

MODULE 3

PLANNING AN ORGANIZING A BUSINESS ORGANIZATION

OVERVIEW:

All business entities are not the same. Some provide owners a lot of flexibility in management and control and some do not. Some provide owners a significant degree of protection from liability and some do not. And some are heavily regulated, and some are not. On top of these differences is the fact that our tax code provides different tax treatments for different business entities. All of these factors should be considered when an entrepreneur is selecting the type of business entity she or he wishes to use for her or his business.

Okay, let's take a look at the primary choices an entrepreneur has by breaking them down into two broad categories. First, we'll take a look at unlimited liability entities, or those business organizations that don't provide the owner or owners any protection from personal liability, such as sole proprietorships and general partnerships. Then, we'll examine limited liability entities, which are business organizations that usually limit an owner's liability to his or her investment in the business, such as corporations, limited liability companies, and limited partnerships.

LEARNING OUTCOMES:

After successful completion of this module, you will be able to:

- A. Describe the different business organization forms and nature.
- B. Explain the registration of the business organization
- C. Discuss the importance and purpose of business organization.
- D. List the different kind of organization advantages and disadvantages

COURSE MATERIALS:

BUSINESS ORGANIZATION DEFINE

Business organization is an entity formed for the purpose of carrying on commercial enterprise. Such an organization is predicated on systems of law governing contract and exchange, property rights, and incorporation.

3 TYPES OF BUSINESS

There are three major types of businesses:

1. Service Business -A service type of business provides intangible products (products with no physical form). Service type firms offer professional skills, expertise, advice, and other similar products

Examples of service businesses are: salons, repair shops, schools, banks, accounting firms, and law firms.

2. Merchandising Business- This type of business buys products at wholesale price

and sells the same at retail price. They are known as "buy and sell" businesses. They make profit by selling the products at prices higher than their purchase costs. A merchandising business sells a product without changing its form. Examples are: grocery stores, convenience stores, distributors, and other resellers.

3. Manufacturing Business: Unlike a merchandising business, a manufacturing business buys products with the intention of using them as materials in making a new product. Thus, there is a transformation of the products purchased.

A manufacturing business combines raw materials, labor, and factory overhead in its production process. The manufactured goods will then be sold to customers.

Hybrid Business

Hybrid businesses are companies that may be classified in more than one type of business. A restaurant, for example, combines ingredients in making a fine meal (manufacturing), sells a cold bottle of wine (merchandising), and fills customer orders (service).

FORMS OF BUSINESS ORGANIZATION

These are the basic forms of business ownership:

1. Sole Proprietorship is a business owned by only one person. It is easy to set-up and is the least costly among all forms of ownership.

The owner faces unlimited liability; meaning, the creditors of the business may go after the personal assets of the owner if the business cannot pay them. The sole proprietorship form is usually adopted by small business entities.

2. Partnership is a business owned by two or more persons who contribute resources into the entity. The partners divide the profits of the business among themselves.

In general partnerships, all partners have unlimited liability. In limited partnerships, creditors cannot go after the personal assets of the limited partners.

3. Corporation is a business organization that has a separate legal personality from its owners. Ownership in a stock corporation is represented by shares of stock.

The owners (stockholders) enjoy limited liability but have limited involvement in the company's operations. The board of directors, an elected group from the stockholders, controls the activities of the corporation.

In addition to those basic forms of business ownership, these are some other types of organizations that are common today:

Limited Liability Company are hybrid forms of business that have characteristics of both a corporation and a partnership. An LLC is not incorporated; hence, it is not considered a corporation. Nonetheless, the owners enjoy limited liability like in a corporation. An LLC may elect to be taxed as a sole proprietorship, a partnership, or a corporation.

Cooperative is a business organization owned by a group of individuals and is operated for their mutual benefit. The persons making up the group are called members. Cooperatives may be

incorporated or unincorporated.

Some examples of cooperatives are: water and electricity (utility) cooperatives, cooperative banking, credit unions, and housing cooperatives.

BUSINESS ORGANIZATION ADVANTAGES & DISADVANTAGES

A. Sole Proprietorship

A sole proprietorship is the common business structure. It makes sense if you're in a business where personal liability is not a concern. From a legal standpoint, the owner and the proprietorship are the same.

Advantages

- It's the easiest to set up because it doesn't require the filing of any papers.
- States do not require the registration of proprietorships.
- Profits are only taxed once on the owner's personal tax returns.
- The owner has complete control of the business and makes all the decisions.
- Tax forms are not complicated.
- Assets are easy to liquidate upon the death of owner.

Disadvantages

- The owner is exposed to unlimited legal liabilities. If you lose a lawsuit, you could lose your home, car and other personal assets.
- Proprietorships cannot accept capital from outside investors.
- Borrowing money is more difficult. Banks are reluctant to make business loans to sole proprietorships. You will have to rely on savings, home equity loans or loans from family members.
- Business will be liquidated when owner passes away.

Partnerships

A partnership is a sole proprietorship that allows the business to have more than one owner.

Advantages

- They're easy to form.
- A partnership can bring together a group of individuals with different talents to share in the responsibilities of running a business.
- If the partnership agreement permits, a partnership could continue to exist if one of the partners dies.

Disadvantages

- Partners are exposed to unlimited liabilities.
- Owners will not always agree on decisions. This could lead to management conflicts.
- Partners share in the profits of the business, but will not always feel they are being adequately compensated for their contributions and services.

Limited Liability Companies

Advantages

- The owners have limited liability. The owner's personal assets are protected from judgments and defaults on company debts.
- Owners can choose how the business pay taxes. It could be a proprietorship, a partnership or a corporation.
- Most states don't require LLCs to have annual meetings.
- An LLC is not required to have a board of directors.
- The number of shareholders is unlimited.

Disadvantages

- Legal and accounting costs are higher than proprietorships.
- LLCs must file articles of incorporation with the state of domicile.
- Owners must create an operating agreement that defines management authority and limits to making decisions.
- In some cases, an LLC will cease to exist upon the death of a member, unless otherwise specified in the operating agreement.

Corporations

A corporation is a legal entity that's completely separate from the shareholders who own stock in the company. It has the authority to enter into contracts and buy and sell property. A corporation can sue other parties but can also be sued.

Advantages

- Owners do not have personal liability for debts of the corporation. A shareholder only risks the amount of the investment in the company.
- Has more access to financial resources. A corporation can sell stock to raise capital, obtain bank loans or issue bonds for long-term financing.
- Corporations are better able to attract more talented and skilled employees than proprietorships.
- The corporation continues to exist separately from the lives of its stockholders.

Disadvantages

- A C Corp is the most complex business structure and requires a lawyer to set up.
- Earnings could be subject to double taxation.

S Corporations

S Corporations combine the tax benefits of proprietorships and LLCs with the liability protection of C Corps.

Advantages

- Avoids double taxation by passing income through to the owners.
- The structure of an S Corp protects the personal assets of the shareholders.
- Lenders are more willing to make loans to S Corps.

Disadvantages

- Articles of incorporation must be filed with the state.

- An S Corp is limited to 100 shareholders.
- It can only have one class of stock.
- Fringe benefits provided by the company to shareholder-employees are taxable as compensation.

The choice of which business structure to use demands thought about your type of business and what you want it to look like. If the business is just yourself, a sole proprietorship could be enough. But, if you're worried about personal liability and risking personal assets and taxes, consider an LLC, a C Corp or an S Corp.

5 IMPORTANT CHARACTERISTICS OF ORGANIZATION

1. **Division of Work** - the breakdown of labor into its components and their distribution among different persons, groups, or machines to increase.
2. **Coordination** - the process of organizing people or groups so that they work together properly and well.
3. **Plurality of Persons** - excess of votes received by the leading candidate, in an election in which there are three or more candidates, over those received by the next candidate (distinguished from majority)
4. **Common Objectives** - A specific result that a person or system aims to achieve within a time frame and with available resources.
5. **Organization is a Machine of Management** - This picture of an organization implies routine operations, well-defined structure and job roles and efficient working inside and between the working parts of the machine i.e. the functional areas.

IMPORTANCE IN ORGANIZING A BUSINESS

- (1) **Benefits of Specialisation** - For all the sub works, competent people are appointed who become experts by doing a particular job time and again. In this way, maximum work is accomplished in the minimum span of time and the organisation gets the benefit of specialisation.
- (2) **Clarity in Working Relationship** - Organising clarifies the working relations among employees. It specifies who is to report to whom. Therefore, communication becomes effective. It also helps in fixing accountability.
- (3) **Optimum Utilisation of Resources** - there is optimum utilisation of all the available resources (e.g., material, machine, financial, human resource, etc.) in the organisation.
- (4) **Adaptation to Change** - Organising process makes the organisation capable of adapting to any change connected with the post of the employees. This becomes possible only because of the fact that there is a clear scalar chain of authority for the manager's right from the top to the lower level.
- (5) **Effective Administration** - The process of organising makes a clear mention of each and every activity of every manager and also of their extent of authority. It is also made clear as to

whom a manager order for a particular job shall. Everybody also knows to whom they are accountable. In this way, the confusion on authority is put to an end. Consequently, effective administration becomes possible.

(6) **Development of Personnel** - Under the process of organising, delegation of authority is practiced. This is done not because of the limited capacity of any individual, but also to discover new techniques of work. It provides opportunities of taking decisions to the subordinates. By taking advantage of this situation, they try to find out the latest techniques and implement them. Consequently, it helps them to grow and develop.

(7) **Expansion and Growth** – The process of organising allows the employees the freedom to take decisions which helps them to grow. They are always ready to face new challenges. This situation can help in the development of the enterprise. This helps in increasing the earning capacity of the enterprise which in turn helps its development.

MAIN PURPOSE OF THE BUSINESS ORGANIZATION

The primary purpose of a business is to maximize profits for its owners or stakeholders while maintaining corporate social responsibility. It is the motivating force moving, guiding, and delivering the organisation to a perceived goal. It is the driving force, the fuel, the bond, the intangible link that pulls the organisation together to achieve success.

HOW TO REGISTER YOUR BUSINESS

Sole proprietorship

- Register your business name with the Bureau of Domestic Trade, Department of Trade and Industry (BDT-DTI).
- Obtain a business clearance from the barangay captain of your place of business.
- Obtain a permit to do business from the local government (your city or municipal government's business licensing office)
- Get a Tax Identification Number (TIN) from the Bureau of Internal Revenue (the branch nearest to you).
- Register your business and employees with the Social Security System for social benefits.
- Register with the Department of Labor and Employment (DOLE) office nearest to you, if you have five or more employees.

Cooperative

- Register with the Cooperative Development Authority (CDA) office nearest you.
- Register the name of your cooperative with the Department of Trade and Industry (DTI) office nearest you.
- Obtain a permit to operate the cooperative from the local government unit.
- Get a Tax Identification Number (TIN) from the Bureau of Internal Revenue.
- You may also register the employees of your cooperative with the Social Security System and the Department of Labor and Employment

Registering with the DTI

For Sole Proprietorship	For Partnerships and	For Cooperatives
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	Corporations	
- Applicant must be 18 years old or more. - Two recent passport-sized photos of applicant. - Proof of Filipino citizenship, if applicant acquired this by naturalization, election or other means provided by law. - Proof of Filipino citizenship (e.g. birth certificate, voter's ID) if applicant's name is suggestive of foreign nationality.	- Certified true or photocopies of articles of incorporation or partnership, by-laws and registration certificate approved by the SEC. - If foreigners own 40% or more of the capital, the SEC certificate must specify that this is in accordance with the Foreign Investments Act of 1991. - In case there is an increase in capital, a certificate issued by the SEC.	- Certifies true or photocopies of articles of cooperation, by-laws and CDA registration certification. - Certification issued by CDA, in case of increase of capitalization.

Registering with the Mayor's Office (the Local Government Unit)

For sole proprietorships	For partnerships and corporations	For cooperatives
- DTI registration certificate of business name - Location map of business establishment - Barangay clearance - Community Tax Certificate of proprietor Plus, depending on type of business, any of the following: - Building occupancy permit - Mechanical permit - Electrical inspection - Pollution clearance - Location clearance - Sanitary/health certificate - Police clearance	- Location map of business establishment - Barangay clearance - SEC registration certificate - Articles of partnership or incorporation - Current Class "C" certificate - Community Tax Certificate of the partners Plus, depending on type of business, any of the following: - Building/occupancy permit - Mechanical permit - Electrical inspection - Pollution clearance - Location clearance - Sanitary/health certificate - Police clearance	- Location map of business establishment - Barangay clearance - CDA registration certificate Plus, depending on type of business, any of the following: - Building occupancy permit - Mechanical permit - Electrical inspection - Pollution clearance - Location clearance - Sanitary/health certificate - Police clearance

Registering with the BIR

For sole proprietorships	For partnerships and corporations	For cooperatives
- Photocopy of DTI registration - Photocopy of mayor's permit	- Photocopy of SEC registration - Mayor's permit	Photocopy of CDA registration or business permit

Registering with the SSS

For sole proprietorships	For partnerships and corporations	For cooperatives
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• Photocopy of mayor's permit • Employer's data record • Initial or subsequent list of employees	• Photocopy of articles of partnership or incorporation • Employer's data record • Initial or subsequent list of employees (The last two requirements should be signed by the managing partner of a partnership or the highest ranking officer of a corporation,)	Cooperatives, as a rule, do not have to register with the SSS, but their employees do.)
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FORMS OF BUSINESS ORGANISATIONS



By
BADM Dept.



READ:

Azarcon, Areola, Arguelles, Pablo-Barlis et al. Entrepreneurship Principles and Practices. First Edition. 2005, Valencia Educational Supply.

Carson, David. Marketing and Entrepreneurship in SME's: An innovative Approach First Edition. 2002. Pearson Education.

Lambing, Peggy A.: Entrepreneurship. Third Edition, 2002. Prentice Hall.

Medina, Roberto G. Entrepreneurship in Small Business Management. First Edition. 1996. Rex Printing Company. Inc.

Vaughn, Donald E. Financial Planning for the Entrepreneur. First Edition. 1997. Prentice Hill.

Activity Assessment:

Discuss **BRIEFLY IN YOUR OWN WORDS** the following scenario:

1. Scenario: Wrong Business Structure Choice

Maria starts a small feed supply business as a sole proprietor. After a year, the business faces debt, and creditors claim her personal house and car.

Question:

What is the main reason for this situation?

2. Scenario: Prototype Ignored by Users

A team builds a complete system before testing. After release, users complain it is difficult to use.

Question:

What should they have done FIRST?

3. Scenario: Feature Overload

A team adds many features (weather, feed tracking, health monitoring, AI prediction) in their first version. Users feel overwhelmed.

Question:

What principle did they violate?

4. Scenario: Choosing a Business Type

A startup wants to protect owners' personal assets, attract investors, and continue operating even if owners change.

Question:

Which business organization is MOST appropriate and why?

5. Scenario: Revenue Model Failure

A startup creates a useful farm app but offers it completely free with no revenue plan.

Question:

What is the main risk?